

Lithium Argentina AG (LAR US)

Hold: A step ahead, but key question unanswered

- ◆ 3Q25 results demonstrate operational stability at Cauchari-Olaroz; 2025 production to be at lower end of range
- ◆ Scoping study results lay out details of PPG project, though the key question of financing remains unanswered
- ◆ Maintain Hold; increase TP to USD4.10 (from USD3.10) to include 75% PPG probability in our valuation

Operational stability at Cauchari-Olaroz: Production at Cauchari-Olaroz (100% basis) totalled c8.3kt LCE (down 2% q-o-q) in 3Q25 and c24kt in 9M25. The company expects 2025 production to be at the lower end of 30-35kt guidance. We expect cash cost to stabilise at the current level (cUSD6,300/t in 9M25) as well.

Next leg of growth....: In August, Lithium Argentina and Ganfeng (1772 HK, Buy, TP HKD 33.40, covered by Howard Lau) agreed to form a joint venture consolidating three individual projects into Pozuelos-Pastos Grandes (PPG), with Ganfeng to own c67% of the JV and Lithium Argentina 33%. The companies announced scoping study results for PPG. The project will have total capacity of 150ktpa LCE and a 30-year life, and will be developed in three stages of 50ktpa LCE each. Capex will be USD3.3bn (USD1.1bn for first stage), implying a capital intensity of cUSD22,000/t. The companies estimate NPV of USD8.1bn at USD18,000/t lithium carbonate price, an all-in sustaining cost of USD5,351/t over the project life, and 8% discount rate. The companies already have environmental approval and are working to submit the RIGI application in 1H26 for stage one. As per the current timeline, stage one is slated to start producing in 1H29.

... but not without challenges: Capital intensity of cUSD22k/t is much lower than recent projects announced/completed in the country: Mariana (cUSD39.5kt/t) and Rincon (cUSD42kt/t). Management attributed the lower intensity to higher lithium concentration and technological innovations. Yet we highlight the risk of capex escalation. The 2019 revised plan for Cauchari-Olaroz laid out capital intensity of cUSD14k/t and 2022 startup; the project fully ramped-up in 2024 but at cUSD24k/t. Another key hurdle is securing project funding without equity dilution. The companies are exploring options including debt, offtake, and minority equity investments.

Lithium price uptick: In the past few weeks, lithium carbonate prices have surged c10% due to strong demand from ESS and inventory drawdown as downstream customers restock. We expect stronger demand from ESS but not a sharp recovery in lithium prices without supply discipline or higher-than-expected demand (see [Metals Quarterly Q4 2025 - The gilded age](#), 15 October 2025).

Maintain Hold rating, raise TP 32% to USD4.10: With the scoping study done, the PPG project is coming closer to a reality, but we highlight the financing and execution risks. We increase our TP to now incorporate a 75% probability of the project coming online yet maintain a Hold rating as our higher TP implies 3% downside.

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Equities Metals & Mining

Canada



MAINTAIN HOLD

TARGET PRICE (USD)

4.10

PREVIOUS TARGET (USD)

3.10

SHARE PRICE (USD)

4.23

(as of 10 Nov 2025)

UPSIDE/DOWNSIDE

-3.0%

MARKET DATA

Market cap (USDm)	686	Free float	87%
Market cap (USDm)	686	BBG	LAR US
3m ADTV (USDm)	14	RIC	LAR.N

FINANCIALS AND RATIOS (USD)

Year to	12/2024a	12/2025e	12/2026e	12/2027e
HSBC EPS	-0.09	-0.47	-0.01	0.07
HSBC EPS (prev)	-0.09	-0.02	-0.01	0.07
Change (%)	0.0	-2,165.3	14.5	-0.1
Consensus EPS	-0.02	-0.15	0.06	0.22
PE (x)	nm	nm	nm	56.6
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	nm	nm	nm	nm
ROE (%)	-1.8	-9.7	-0.2	1.6

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Lithium Argentina AG

Hold

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (USDm)				
Revenue	0	0	0	0
EBITDA	-60	-90	-32	-15
Depreciation & amortisation	0	0	0	0
Operating profit/EBIT	-60	-90	-32	-15
Net interest	27	17	30	32
PBT	-26	-76	-2	17
HSBC PBT	-26	-76	-2	17
Taxation	11	0	0	-4
Net profit	-15	-76	-1	12
HSBC net profit	-15	-76	-1	12
Cash flow summary (USDm)				
Cash flow from operations	-22	-23	15	12
Capex	0	0	0	0
Cash flow from investment	0	0	0	0
Dividends	0	0	0	0
Change in net debt	45	23	-15	-12
FCF equity	-22	-23	15	12
Balance sheet summary (USDm)				
Intangible fixed assets	0	0	0	0
Tangible fixed assets	353	353	353	353
Current assets	117	95	110	121
Cash & others	86	63	78	90
Total assets	1,131	1,055	1,054	1,066
Operating liabilities	30	30	30	30
Gross debt	211	211	211	211
Net debt	125	148	133	121
Shareholders' funds	828	752	751	763
Invested capital	355	355	355	355

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue				
EBITDA				
Operating profit				
PBT	-192.0			
HSBC EPS	-186.7			
Ratios (%)				
ROIC	-10.1	-25.4	-6.6	-3.1
Keu	11.9	11.9	11.9	11.9
EV/IC (x)	1.7	1.9	1.9	1.9
ROIC/Keu (x)	-0.8	-2.1	-0.5	-0.3
REP (x)				
ROE	-1.8	-9.7	-0.2	1.6
EBITDA margin	0.0	0.0	0.0	0.0
Operating profit margin	0.0	0.0	0.0	0.0
Net debt/equity	14.1	18.2	16.3	14.7
Net debt/EBITDA (x)	-2.1	-1.6	-4.2	-8.1
Per share data (USD)				
EPS Rep (diluted)	-0.09	-0.47	-0.01	0.07
HSBC EPS	-0.09	-0.47	-0.01	0.07
CFPS	-0.14	-0.14	0.09	0.07
DPS	0.00	0.00	0.00	0.00

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/EBITDA	nm	nm	nm	nm
PE*	nm	nm	nm	56.6
P/CFPS			44.7	59.4
P/FCF equity	-31.5	-30.0	44.8	59.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	n/a	No. of board members	6
Energy intensity*	n/a	Average board tenure (years)	[n/a]
CO ₂ reduction policy	Yes	Female board members (%)	0
Social Indicators		Board members independence (%)	16.7
Employee costs as % of revenues	n/a		
Employee turnover (%)	11.1		
Diversity policy	Yes		

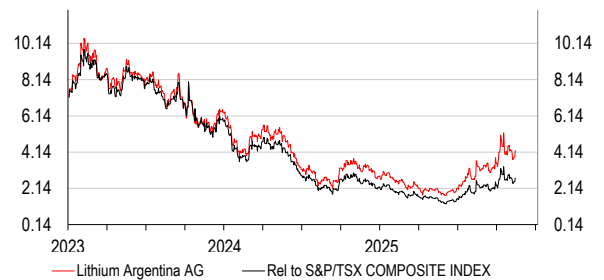
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	4.23	Free float	87%
Target price (USD)	4.10	Sector	Metals & Mining
RIC (Equity)	LAR.N	Country/Region	Canada
Bloomberg (Equity)	LAR US	Analyst	Ishan Jain
Market cap (USDm)	686	Contact	+91 80 4550 3767

Price relative



Source: HSBC

Note: Priced at close of 10 Nov 2025

Change in estimates

We incorporate 3Q25 results in our model. The increase in our loss per share estimate for 2025 is driven by weaker-than-expected 3Q25 results.

Lithium Argentina: Our estimate changes, 2025-27e

USDm, except otherwise noted	New			Old			% change		
	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	-	-	-	-	-	-	nm	nm	nm
EBITDA	(90)	(32)	(15)	(37)	(35)	(19)	nm	nm	nm
Net income	(76)	(1)	12	(3)	(1)	12	nm	nm	nm

Source: HSBC estimates

Valuation and risks

We use an NPV-based valuation approach with an unchanged WACC of 11.9%. Our underlying cost of capital assumptions include a risk-free rate of 4.25% and equity risk premium of 4.00% (in line with HSBC equity strategists' assumptions), and unleveraged beta of 1.2. We also apply an additional premium of 50bp to highlight potential recapitalisation risks. We now include the PPG project in our valuation but assign a 75% probability. As a result, we increase our target price to USD4.10 (from USD3.10). Our new TP implies 3.0% downside. We maintain a Hold rating on the stock.

Downside risks include production issues leading to suboptimal product quality at Cauchari-Olaroz; execution risk that would delay or result in lower than-expected production and/or cost overruns; lower-than-expected prices affecting economics adversely; macro slowdown resulting in reduced EV sales that could lower demand for lithium; and capital escalation and execution risks at the PPG project.

Upside risks include better-than-expected execution to produce battery grade spec; favourable divestiture or funding partnership with Ganfeng; better-than expected pricing; and higher-than-expected lithium price.

Disclosure appendix

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

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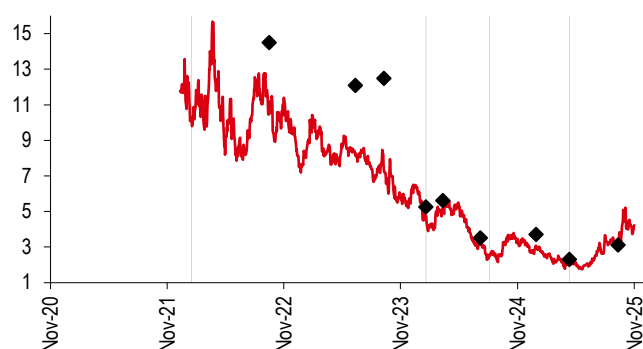
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For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Lithium Argentina AG (LAR.N) share price performance USD Vs HSBC rating history



Rating & target price history

From	To	Date	Analyst
N/A	Buy	26 Jan 2022	Santhosh Seshadri, CFA
Buy	Hold	29 Jan 2024	Santhosh Seshadri, CFA
Hold	Buy	14 Aug 2024	Santhosh Seshadri, CFA
Buy	Hold	22 Apr 2025	Santhosh Seshadri, CFA
Target price	Value	Date	Analyst
Price 1	14.49	26 Sep 2022	Santhosh Seshadri, CFA
Price 2	12.08	22 Jun 2023	Santhosh Seshadri, CFA
Price 3	12.48	20 Sep 2023	Santhosh Seshadri, CFA
Price 4	5.25	29 Jan 2024	Santhosh Seshadri, CFA
Price 5	5.60	22 Mar 2024	Santhosh Seshadri, CFA
Price 6	3.50	17 Jul 2024	Santhosh Seshadri, CFA
Price 7	3.70	07 Jan 2025	Santhosh Seshadri, CFA
Price 8	2.30	22 Apr 2025	Santhosh Seshadri, CFA
Price 9	3.10	21 Sep 2025	Sriharsha Pappu

Source: HSBC

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LITHIUM ARGENTINA AG	LAR.N	4.23	10 Nov 2025	-

Source: HSBC

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